



Ontario Corporation Tax Calculation (2022 and later tax years)

Corporation's name	Business number	Tax year-end												
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- Use this schedule if your corporation had a **permanent establishment** (as defined in section 400 of the federal Income Tax Regulations) in Ontario at any time in the tax year and had Ontario taxable income in the tax year.
- Legislative references are to the federal Income Tax Act and Income Tax Regulations.
- This schedule is a worksheet only and is not required to be filed with your T2 Corporation Income Tax Return.

Part 1 – Ontario basic income tax

Ontario taxable income (Note 1)	1A
Ontario basic rate of tax for the year	11.5 % 1B
Ontario basic income tax (amount 1A multiplied by amount 1B) (Note 2)	1C

Note 1: If your corporation had a permanent establishment only in Ontario, enter the amount from line 360, from page 3 of the T2 return. Otherwise, enter the taxable income allocated to Ontario from column F in Part 1 of Schedule 5.

Note 2: If your corporation had a permanent establishment in more than one jurisdiction or is claiming an Ontario tax credit in addition to Ontario basic income tax, Ontario corporate minimum tax, or Ontario special additional tax on life insurance corporations payable, enter amount 1C on line 270 of Schedule 5, Tax Calculation Supplementary – Corporations. Otherwise, enter it on line 760 of the T2 return.

Part 2 – Ontario small business deduction (OSBD)

Complete this part if your corporation claimed the federal small business deduction under subsection 125(1).

Line 400 of the T2 return	2A
Line 405 of the T2 return	2B
Line 410 of the T2 return	2C
Line 415 of the T2 return	2D

Business limit reduction for tax years starting before April 7, 2022

Amount 2C	×	Amount 2D	=	2E
		11,250		

Business limit reduction for tax years starting after April 6, 2022

Amount 2C	×	Amount 2D	=	2F
		90,000		

Amount 2E or amount 2F, whichever applies 2G

Line 515 of the T2 return	2H
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Subtotal (amount 2C minus amount 2G minus amount 2H) 2I

Amount 2A, 2B or 2I whichever is the least 2J

Ontario domestic factor (ODF): $\frac{\text{Taxable income for Ontario (Note 3)}}{\text{Taxable income for all provinces (Note 4)}}$ = 2K

Amount 2J multiplied by amount 2K 2L

Ontario taxable income (amount 1A) 2M

Ontario small business income (amount 2L or 2M, whichever is less) 2N

Ontario small business deduction for the year

Amount 2N × 8.3% = 2O

Enter Ontario small business deduction for the year (amount 2O) on line 402 of Schedule 5.

Note 3: Enter amount 1A.

Note 4: Includes the territories and the offshore jurisdictions of Nova Scotia and Newfoundland and Labrador.

Part 3 – Ontario adjusted small business income

Complete this part if your corporation was a Canadian-controlled private corporation throughout the tax year and is claiming the Ontario tax credit for manufacturing and processing or the Ontario credit union tax reduction.

Ontario adjusted small business income (amount 1A or 2J, whichever is the least) **3A**

Enter amount 3A at amount 4B in Part 4 of this schedule or at amount 2E in Part 2 of Schedule 502, Ontario Tax Credit for Manufacturing and Processing, whichever applies.

Part 4 – Credit union tax reduction

Complete this part and Schedule 17, Credit Union Deductions, if the corporation was a credit union throughout the tax year.

Amount 2C of Schedule 17 **4A**

Ontario adjusted small business income (amount 3A) **4B**

Subtotal (amount 4A **minus** amount 4B) (if negative, enter "0") **4C**

Amount 4C × 8.3% = **4D**

Ontario domestic factor (amount 2K) **4E**

Ontario credit union tax reduction (amount 4D **multiplied** by amount 4E) **4F**

Enter amount 4F on line 410 of Schedule 5.